Buying a distressed lease: fuel risk sets the entry price

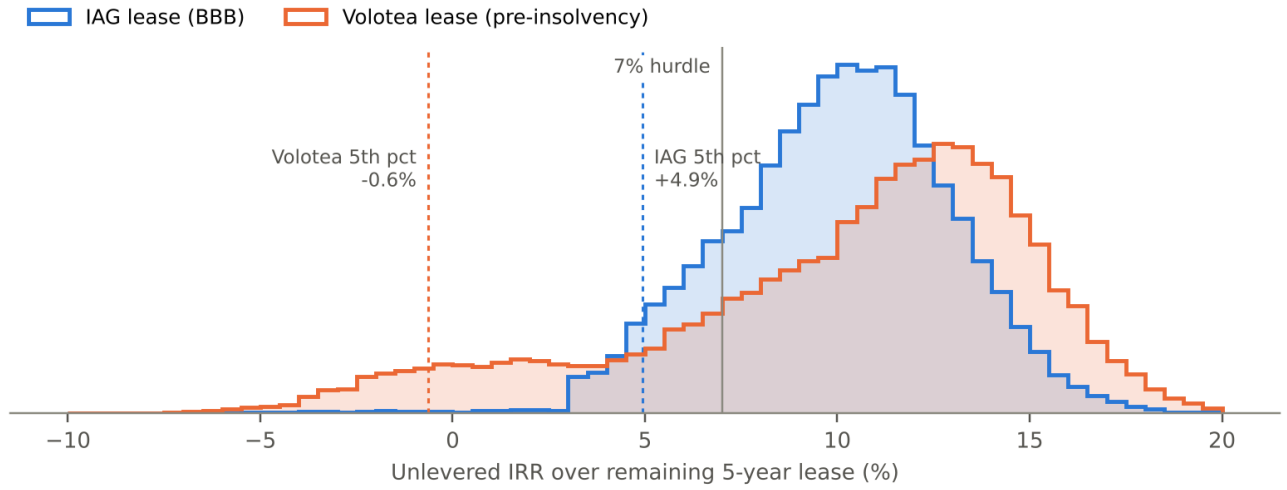
Secondary-market acquisition of a mid-life A320ceo with 5 years left on an existing lease. Same aircraft, two lessees: IAG (BBB) and Volotea, in pre-insolvency since September 2026. Monte Carlo, 20,000 paths, jet fuel as the common risk factor.

Key findings

1. **Entry price, not rent, is where the risk gets paid for.** The Volotea lease was signed before the fuel shock, so its ~12% rent premium is fixed. To give it the same 5th-percentile return as the IAG lease at $17.0M, a buyer should pay about **$13.9M, a 18% discount**. Getting there through rent instead would take $324k/month, which no carrier in restructuring will sign.

2. **A higher median can sit on a much worse tail.** At the same price, Volotea's median IRR beats IAG's (11.2% vs 10.1%) and the means are level (10.0% vs 10.0%). The 5th percentile is -0.6% against 4.9%, and the chance of missing a 7% hurdle is 23% against 16%.

3. **Treating the risks as independent understates the tail by about 4 IRR points.** In a fuel shock, default, re-lease rents, downtime and residual values all move against the lessor together. Modelled separately, Volotea's 5th percentile is 3.4%; with fuel as a common factor it is -0.6%.

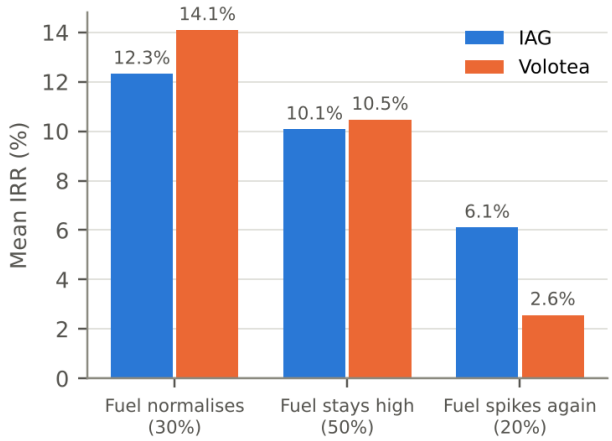


Distribution of unlevered IRR at a $17.0M purchase price. Dashed lines mark each lessee's 5th percentile.

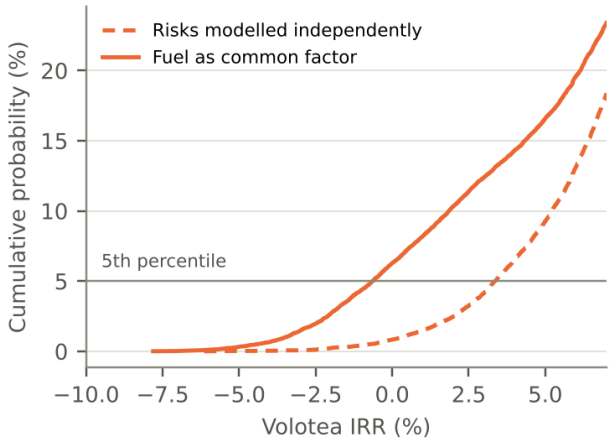
Metric (purchase price $17.0M)	IAG	Volotea
Monthly rent	$215k	$240k
Mean IRR	10.0%	10.0%
Median IRR	10.1%	11.2%
5th percentile IRR	4.9%	-0.6%
Expected shortfall (worst 5%)	3.5%	-2.4%
P(IRR below 7% hurdle)	16%	23%
P(lessee default within lease)	2%	45%
5th percentile without deposit or part-out floor	4.9%	-1.8%
Entry price that matches IAG's 5th pct	–	$13.9M

Why fuel, and why now

Jet fuel roughly doubled after the Strait of Hormuz disruption in early 2026, and most European carriers were hedged only into summer 2026. Ryanair has warned that European fares could rise 10–20% in 2027 and that weaker carriers may fail. Volotea filed for pre-insolvency protection (preconcurso) in Barcelona on 29 September 2026, citing an estimated €150M fuel impact, and plans to shrink its fleet from 44 to 30–35 A320s. For a lessor, that is credit risk and asset risk arriving together: aircraft come back exactly when more of them are coming back.



Mean IRR by fuel scenario. Volotea beats IAG if fuel normalises; if fuel spikes again it falls to 2.6% against IAG's 6.1%.



Volotea's left tail. Ignoring the common fuel factor understates downside by about 4 IRR points at the 5th percentile.

Method and assumptions

Monthly cash flows over the 60 remaining lease months, unlevered. Each path draws one fuel scenario, which sets default probability, re-lease rent haircut, downtime and residual value together. On default (constant monthly hazard), rent stops; the lessor keeps the security deposit (1 month's rent for IAG, 3 for Volotea) against a repossession and transition cost of median $1.0M (log-normal); the aircraft sits idle for the drawn downtime and is re-leased at the haircut rent. At lease end the residual is realised, floored at a $6.0M part-out value (two green-time CFM56-5Bs at about $2.6–3.2M each plus airframe material). Maintenance reserves are treated as pass-through: on a distressed return they are largely consumed by the aircraft's return-condition shortfall, so counting them as recovery would double-count.

Fuel scenario	Prob.	Annual PD IAG	Annual PD Volotea	Re-lease rent	Downtime	Residual (yr 5)
Normalises	30%	0.2%	4% (≈ B)	–5%	4 mo	$13.0M
Stays high 12–18 mo	50%	0.3%	12%	–15%	6 mo	$11.0M
Spikes / more failures	20%	0.6%	28% (≈ CCC/C)	–30%	10 mo	$8.0M

Anchors: the purchase price implies a lease rate factor of ~1.26%/month, consistent with IBA's ~$220k monthly rent for a 12-year-old A320ceo (Q3 2026) and indicative 2026 values of $12–20M at 15 years and $6–13M at 20 years. Default probabilities follow S&P long-run default rates by rating: IAG is rated BBB (S&P, Fitch) / Baa3 (Moody's), ~4% for B and 28.3% for CCC/C (1981–2020 weighted average). Remarketing times follow lessor survey data (most aircraft re-placed within 3–6 months, a quarter taking 6–12). Mitigants matter: without the deposit and floor, Volotea's 5th percentile falls from -0.6% to -1.8%, almost all of it from the deposit.

Limitations and next steps

Scenario probabilities are judgement, not market-implied, and appraiser data (IBA, Cirium, Ishka) would tighten values and rents. The part-out floor rarely binds here: tail losses come from lost rent, downtime and repossession early in the lease, not from the residual. It binds more for an engine-centric owner. An owner that can extend CFM56-5B life in-house, as WLFC now can under its programme with CFM, should carry a higher floor: at $8M, Volotea's 5th percentile turns positive. Next steps: maintenance-condition risk at repossession, leverage, and a portfolio view in which several lessees share the same fuel factor.

Interactive version with adjustable assumptions: emanueleospina.github.io/a320-lease-risk

Sources: IBA via ACMI World (A320ceo rents, Q3 2026); Avialinker (A320ceo CMV ranges 2026); S&P Global Ratings annual default studies; Safe Fly Aviation (CFM56-5B values, 2026); WLFC/CFM press release (Feb 2026); IAG investor relations (ratings); Migflug and Ulysse (Volotea preconcurso and losses); Travel Daily News and Spotmedia (Ryanair fare and fuel outlook); JD Supra lessor survey (remarketing times).